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### 5.7.1 Balance method

Following are the steps to be followed to prepare trial balance under this method:

***Step 1:*** Calculate the balances of all ledger accounts including the cash book.

***Step 2:*** Record the names of the accounts in the particulars column and the amounts of debit balances in the debit column and credit balances in the credit column.

***Step 3:*** Enter the page number of ledger from which the balance is taken in the Ledger Folio column.

***Step 4:*** Total the debit and credit columns. It must be equal. If not equal, locate the errors and make the trial balance agree.

Trial balance is prepared in the following format under the balance method:

**Trial balance as on ...**

| S. No. | Name of account / Particulars | L.F. | Debit balance ` | Credit balance ` |
|---|---|---|---|---|
| | | | | |

### Specimen of a trial balance

**Trial balance of Mr. X as on …**

| S.No. | Particulars | L.F. | Debit ` | Credit ` |
|---|---|---|---|---|
| 1 | Cash in hand | | xxx | |
| 2 | Cash at bank | | xxx | |
| 3 | Bills receivable | | xxx | |
| 4 | Sundry debtors | | xxx | |
| 5 | Opening stock | | xxx | |
| 6 | Plant and Machinery | | xxx | |
| 7 | Land and Building (Premises) | | xxx | |
| 8 | Furniture and Fixtures | | xxx | |
| 9 | Vehicles | | xxx | |
| 10 | Goodwill | | xxx | |
| 11 | Investment | | xxx | |
| 12 | Drawings | | xxx | |
| 13 | Purchases | | xxx | |
| 14 | Sales returns | | xxx | |
| 15 | Carriage inwards | | xxx | |
| 16 | Carriage outwards | | xxx | |
| 17 | Rent paid | | xxx | |
| 18 | Commission paid | | xxx | |
| 19 | Interest paid | | xxx | |
| 20 | Bad debts | | xxx | |